

Cumulus Bank

Commercial banking from Cumulus Bank



COMMERCIAL LENDING

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PRODUCT BROCHURE · COMMERCIAL LENDING

Equipment Leasing

Fair-Market-Value, \$1-buyout, and TRAC lease structures for transportation, manufacturing, medical, technology, and construction equipment — with tax-advantaged ownership and flexible end-of-term options.

LEASE TYPES	FMV (operating) · \$1-buyout (capital) · TRAC (vehicles)
IMPLICIT RATE	5.95% – 9.25%
TERMS	24 – 84 months
ASSET CLASSES	Transportation · manufacturing · medical · IT · construction
END-OF-TERM OPTIONS	Purchase · return · renew · upgrade
TAX TREATMENT	Section 179 and bonus depreciation on capital leases
DOCUMENTATION	Master Lease Agreement + schedules
SALE-LEASEBACK	Available on existing owned equipment



AT A GLANCE

Overview

Cumulus Equipment Leasing provides an alternative to equipment loans — with differentiated cash-flow, tax, and accounting outcomes. In a lease structure, Cumulus (the Lessor) owns the equipment and leases it to the business (the Lessee) for a fixed term at a fixed payment. The lessee operates the equipment as if it were owned, often with lower monthly payments than an equivalent loan, and elects an end-of-term option: purchase for fair-market value, renew, upgrade, or return. Lease structures are commonly preferred when the borrower values cash-flow preservation, end-of-term flexibility, or specific tax / accounting treatment.

THREE PRIMARY TYPES

Lease structures

FAIR-MARKET-VALUE (FMV) LEASE**Fair-Market-Value (FMV) lease**

True (operating) lease. Cumulus retains depreciation; lessee treats payments as operating expense. End-of-term: purchase at FMV, renew, or return. Appropriate when flexibility is valued or when the equipment will be upgraded at term-end.

\$1-BUYOUT (CAPITAL) LEASE**\$1-buyout (capital) lease**

Conditional-sale / finance lease. Lessee takes depreciation (Section 179 / bonus depreciation) and records the asset on its balance sheet. End-of-term: buyout for \$1 and retain the equipment. Appropriate when ownership is desired.

TRAC LEASE (VEHICLES)**TRAC lease (vehicles)**

Terminal-Rental-Adjustment-Clause lease for over-the-road titled vehicles (Class 6–8, trailers, specialty vehicles). Lessee stipulates residual; final adjustment based on disposition proceeds. Treated as a capital lease for tax; operating for book.

SALE-LEASEBACK**Sale-leaseback**

Lessee sells existing owned equipment to Cumulus and leases it back. Unlocks capital from the balance sheet while preserving operational use. Useful for working-capital generation and acquisition financing.

MASTER LEASE AGREEMENT**Master Lease Agreement**

Umbrella agreement enabling multiple equipment schedules over time under pre-negotiated terms. Each schedule is a distinct lease; the MLA governs overall obligations and default terms.

TAX-EXEMPT / MUNICIPAL LEASE**Tax-exempt / municipal lease**

Structured for qualifying public-sector lessees (municipalities, school districts, authorities). Non-appropriation language preserves tax-exempt status.

PRICING

Implicit rates and residual structure

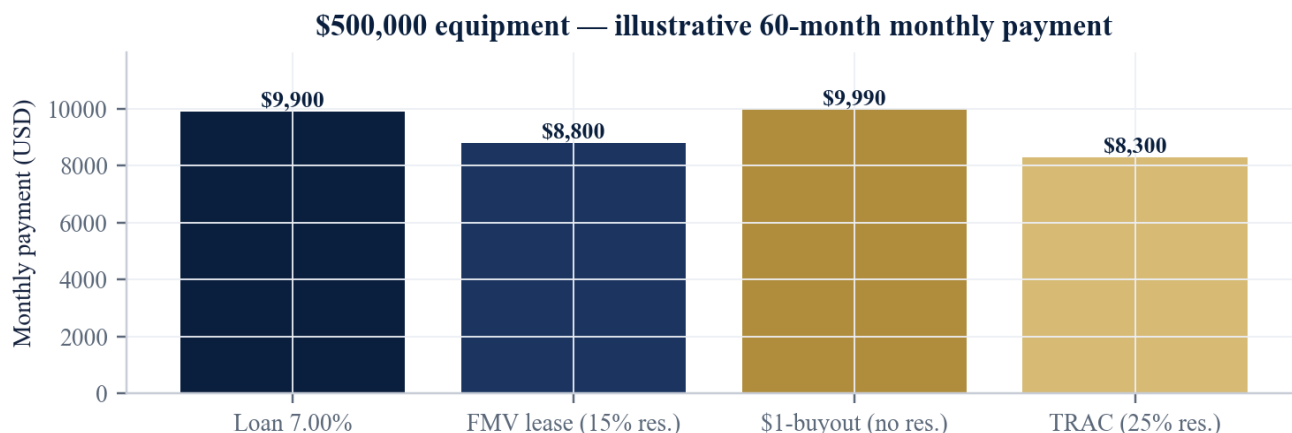
Lease payments are calculated from three inputs: equipment cost, assumed residual value at term end, and the implicit rate. Larger assumed residuals reduce monthly payments but raise end-of-term purchase cost; smaller residuals produce higher monthly payments with a lower or \$1 buyout.

LEASE TYPE	IMPLICIT RATE	TYPICAL RESIDUAL	TYPICAL TERM	BUYOUT
FMV — medical imaging	5.95% – 7.25%	10 – 20%	60 months	Fair market value at term-end
FMV — manufacturing / CNC	6.50% – 7.95%	10 – 15%	60 months	FMV at term-end
FMV — IT / technology	7.50% – 9.25%	0 – 10%	36 months	FMV or upgrade
\$1-buyout — general	6.75% – 8.50%	\$1 (nominal)	60 – 84 months	\$1 at term-end
TRAC — over-the-road	6.50% – 7.75%	20 – 35%	60 months	Residual adjusted via TRAC
Sale-leaseback — existing assets	7.00% – 8.25%	15 – 25%	Balance of useful life	FMV or pre-agreed schedule
Tax-exempt / municipal	Tax-exempt rate (varies)	\$1 or minimal	3 – 10 years	Non-appropriation structure

SIDE-BY-SIDE

Loan vs. lease monthly cash-flow

The chart below compares monthly cash outflows on a \$500,000 equipment acquisition under four structures: a 60-month 7.00% loan, a 60-month FMV lease assuming 15% residual at 6.75%, a 60-month \$1-buyout lease at 7.25%, and a 60-month TRAC lease assuming 25% residual at 6.95%. FMV and TRAC structures produce the lowest monthly cash but imply end-of-term decisions.



DECISION FRAMEWORK

Tax and accounting treatment

DIMENSION	\$1-BUYOUT (CAPITAL) LEASE	FMV (OPERATING) LEASE	TRAC LEASE
Title / ownership (legal)	Cumulus until \$1 buyout	Cumulus (lessee may purchase at FMV)	Cumulus (lessee stipulates residual)
Depreciation (tax)	Lessee takes (Section 179, bonus, MACRS)	Cumulus takes	Lessee takes (treated as financing for tax)
Book treatment (ASC 842)	Finance lease — asset + liability on BS	Operating lease — ROU asset + lease liability	Operating — ROU asset + lease liability
Payment — income statement	Interest + depreciation	Rental expense	Rental expense (book)
End-of-term decision	None — purchase for \$1	Purchase at FMV, renew, or return	TRAC adjustment based on disposition
Residual risk	Lessee (owns equipment)	Cumulus (owns residual)	Lessee (TRAC clause)

SECTION 179 AND BONUS DEPRECIATION

Under the current IRC, Section 179 expensing and bonus depreciation are generally available on capital leases (\$1-buyout) and TRAC leases where the lessee is treated as the tax owner. Operating leases (FMV) do not qualify — Cumulus, as tax owner of the equipment, retains depreciation. Consult your tax advisor to confirm the classification and deductibility for your specific situation.

CREDIT AND LEGAL

Underwriting and documentation

Credit parameters

- Minimum DSCR of **1.20x** on a trailing-twelve-month basis.
- Minimum two years of operating history; start-ups considered with strong sponsor experience.
- Personal guaranty of each 20%+ owner (waivable above \$2M with qualifying corporate credit).
- Residual-sensitive structures require asset-type familiarity and secondary-market expertise (handled by Cumulus Equipment Finance underwriting).

Documentation

- Master Lease Agreement + applicable lease schedule for each equipment tranche.
- Vendor invoice, purchase order, or sale agreement (sale-leaseback).
- UCC-1 precautionary filing; Certificate of Title lien for titled equipment.
- Insurance certificate naming Cumulus Bank, N.A. as loss-payee and additional insured.
- Business and personal tax returns, current interim financial statements (application-only for small tickets).
- Non-appropriation language for municipal / tax-exempt lessees.

HOW IT WORKS

Process and timing

STEP	WHAT HAPPENS	TIMING
1 · Structure	Relationship Manager and Equipment Finance Specialist scope asset class, useful life, tax objectives, and lease type.	Days 1–3
2 · Application	Credit application submitted with financials and equipment detail (vendor quote or purchase order).	Days 3–7
3 · Approval	Credit decision; lease term, implicit rate, residual, and end-of-term options confirmed.	Days 7–12
4 · Documentation	Master Lease Agreement executed (first-time); equipment schedule executed; vendor acceptance obtained.	Days 12–20
5 · Funding	Cumulus pays the vendor; equipment delivered and accepted; commencement date set. First payment due at delivery or 30 days thereafter.	Day of acceptance
6 · End of term	Cumulus provides written notice 90–120 days prior. Lessee elects among purchase / renew / return / upgrade options.	End-of-term month

FMV / TRAC LEASE

End-of-term options

- **Purchase at fair-market value** — appraisal by Cumulus-engaged appraiser; lessee may purchase outright or trade in.
- **Renew** — extend the lease at a pre-agreed renewal rate (typically 60–75% of the original monthly payment) for a negotiated renewal term.



- **Return** — deliver the equipment to a Cumulus-designated location in 'normal wear and tear' condition. Rebilling for excessive wear or missing items may apply.
- **Upgrade** — trade in the equipment for a new acquisition under a new lease schedule; Cumulus credits the FMV against the new purchase (subject to appraisal).
- **Month-to-month extension** — extend at the final monthly payment rate while end-of-term decision is finalized; typically available for up to 12 months.

COMMON QUESTIONS

Frequently asked questions

Lease vs. loan — is a lease really cheaper?

Monthly lease payments are typically lower than loan payments on comparable financing because the residual value is preserved at term-end — the lessee pays only for use during the lease term, not for the entire asset value. However, if the lessee exercises the FMV purchase option, total cost may exceed the loan alternative depending on residual realization.

Can I take Section 179 on a lease?

On capital (\$1-buyout) leases and TRAC leases, the lessee is generally treated as the tax owner and may take Section 179 expensing and bonus depreciation. On FMV (true) leases, Cumulus is the tax owner and the lessee may not take depreciation. Tax treatment should be confirmed with your CPA.

What is a TRAC clause?

A Terminal-Rental-Adjustment-Clause is specific to titled vehicle leases. Lessee and Cumulus stipulate a residual value at lease inception; at term-end, the vehicle is sold, and the difference between the stipulated residual and actual sale proceeds is settled between the parties. This preserves lease treatment for book while allowing lessee-friendly economics.

Can a sale-leaseback help my cash position?

Yes. A sale-leaseback unlocks capital from fully-owned equipment: Cumulus buys the equipment at appraised market value and leases it back to you for continued operational use. The purchase price becomes immediate liquidity; monthly lease payments are predictable cash-flow.

What is a Master Lease Agreement?

A Master Lease Agreement (MLA) is an umbrella contract that allows you to add new equipment schedules under pre-negotiated terms. Each schedule is a standalone lease, but the MLA addresses shared provisions (default, insurance, assignment). This reduces documentation time on subsequent deals.

What counts as 'normal wear and tear' at return?

Cumulus uses industry-standard return condition guidelines specific to the equipment class — published with the lease schedule. Return inspections are conducted by an independent inspector for larger transactions; findings are documented with photographic support and reconciled against the guideline.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

- § Annual Percentage Rate (APR) shown is representative and based on illustrative borrower credit profiles; the rate offered to an individual applicant may differ materially. All extensions of credit are subject to application, underwriting, and verification of income, employment, assets, and collateral.
- § Disclosures are provided pursuant to the Truth in Lending Act (Regulation Z, 12 C.F.R. Part 1026), the Equal Credit Opportunity Act (Regulation B, 12 C.F.R. Part 1002), and the Real Estate Settlement Procedures Act (Regulation X, 12 C.F.R. Part 1024) where applicable.
- § For real-estate-secured credit, flood-zone determination, title insurance, property appraisal, and hazard insurance are required. Flood insurance is required where the property is located in a Special Flood Hazard Area identified by FEMA.
- § Cumulus Bank, N.A. is an Equal Housing Lender. Residential mortgage products are offered through Cumulus Home Lending, a division of Cumulus Bank, N.A.
- § NMLS Consumer Access: www.nmlsconsumeraccess.org · NMLS ID 2026045.
- § Equipment leases are commercial leases governed by Article 2A of the Uniform Commercial Code. Lease classification for tax and accounting purposes depends on facts and circumstances, including IRS true-lease criteria (Revenue Procedures 2001-28 and 2001-29) and ASC 842 classification tests.
- § Residual values shown are illustrative. Actual residuals are negotiated at lease inception based on equipment class, expected market conditions, use case, and Cumulus's end-of-term realization expectations. FMV at end-of-term is determined by independent appraisal.
- § Cumulus does not provide tax, legal, or accounting advice. Lessees should consult their own advisors regarding the appropriate lease structure, depreciation treatment, and financial-statement classification.
- § Tax-exempt leases to qualifying public-sector lessees are subject to applicable IRS rules (IRC § 103) and non-appropriation provisions required under state constitutional debt limits.

ENGAGE A SPECIALIST

Connect with a Cumulus commercial banker

A Commercial Relationship Manager will assess your business's banking, credit, and treasury needs, coordinate supporting specialists, and return a term sheet or proposal on an expedited timeline. Existing Cumulus clients should contact their dedicated Relationship Manager directly.

COMMERCIAL DESK 954.417.2880
Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET

CLIENT PORTAL cumulusbank-demo-bb054209d76d.herokuapp.com
Apply online, review rates, or schedule an appointment.

TREASURY SERVICES Commercial banking centers are staffed by appointment. Request a consultation at cumulusbank-demo-bb054209d76d.herokuapp.com/commercial.

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